# Corporate Lending Automation System

Intelligent Credit Assessment Platform

# CREDIT ASSESSMENT REPORT

| | |
|---|---|
| **Application Number** | CLA_20260827_00004 |
| **Company** | Praj Industries Limited |
| **Registration No.** | L27101PN1985PLC038031 |
| **Loan Amount Requested** | RM 1,000,000 |
| **Loan Purpose** | Working Capital |
| **Tenure** | 12 months |
| **Pipeline Status** | Manual Review |
| **Preliminary Decision** | MANUAL REVIEW |
| **Report Generated** | 2026-08-27 19:09 UTC |

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# 1. Application Overview

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|---|---|
| **Application No.** | CLA_20260827_00004 |
| **Loan Amount** | RM 1,000,000 |
| **Loan Purpose** | Working Capital |
| **Tenure** | 12 months |
| **Interest Rate Requested** | — |
| **Collateral Description** | Not provided |
| **Collateral Value** | N/A |
| **Current Status** | Manual Review |
| **Final Decision** | MANUAL REVIEW |
| **Assigned Officer** | Not assigned |
| **Decision Reason** | RECOMMENDATION: CONDITIONAL APPROVAL — The composite risk score of 15.0/100 is in the 'Medium' range. The XGBoost model estimates a 0.0% probability of default. Additionally, 4 advisory rule(s) triggered: MFG: Inventory Turnover, TECH: Cash Flow Ratio, RETAIL: Inventory Turnover High. Approval may be considered with appropriate covenants, enhanced collateral requirements, or a reduced loan amount. |

# 2. Company Profile

| | |
|---|---|
| **Company Name** | Praj Industries Limited |
| **Registration Number** | L27101PN1985PLC038031 |
| **Tax ID** | — |
| **GST Number** | — |
| **Company Type** | Public Limited |
| **Industry** | Energy |
| **Incorporation Date** | — |
| **Country** | India |
| **Registered Address** | PRAJ TOWER", S.NO. 274 & 275/2, BHUMKAR CHOWK - HINJEWADI ROAD, HINJEWADI, PUNE - 411 057, MAHARASHTRA, INDIA |
| **City / State** | Pune, Maharashtra |
| **Contact Email** | praj@gmail.com |
| **Contact Phone** | — |
| **Annual Turnover** | RM 2,806 |
| **Employees** | 1200 |

## 3. Submitted Documents

| # | Type | Filename | Financial Year | Size (KB) | Status |
|---|---|---|---|---|---|
| 1 | Other | Praj_Industries_All_25_Financial_Fields_FY2024-25. | — | 9.4 | Extracted |

## 4. Financial Data — OCR Extraction

| Financial Metric | Extracted Value | Financial Metric | Extracted Value |
|---|---|---|---|
| **Cash & Cash Equivalents** | RM 65 | **Cost of Revenue** | RM 1,455 |
| **EBIT** | RM 354 | **Short-term Debt** | — |
| **EBITDA** | RM 399 | **Accounts Payable** | RM 374 |
| **Shareholders' Equity** | RM 1,414 | **Interest Expense** | RM 4 |
| **Revenue / Turnover** | RM 2,806 | **Operating Profit** | RM 265 |
| **Inventory** | — | **Total Liabilities** | RM 1,370 |
| **Net Worth** | RM 1,414 | **Accounts Receivable** | RM 430 |
| **Net Profit / PAT** | RM 264 | **Current Liabilities** | RM 1,319 |
| **Tax Expense** | RM 85 | **Financing Cash Flow** | — |
| **Gross Profit** | RM 1,290 | **Investing Cash Flow** | RM 71 |
| **Total Assets** | RM 2,784 | **Operating Cash Flow** | RM 43 |
| **Current Assets** | RM 2,075 | **Depreciation & Amortisation** | RM 45 |
| **Long-term Debt** | — | | |

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# 5. Financial Ratios Analysis

**Overall Financial Health: GOOD**

| Ratio | Value | Unit | Risk Level | Benchmark | Interpretation |
|---|---|---|---|---|---|
| **Debt Ratio** | 0.4921 | x | Low | 0.3 – 0.6 | Good: Debt Ratio of 0.49x. Balanced financing structure. |
| **Quick Ratio** | 1.5725 | x | Low | 1 – 2 | Healthy: Quick Ratio of 1.57x. Liquid assets adequately cover current liabilities witho... |
| **Current Ratio** | 1.5725 | x | Low | 1.5 – 3 | Healthy: Current Ratio of 1.57x indicates strong short-term liquidity. The company can ... |
| **Ebitda Margin** | 14.22% | % | Medium | 12 – 30 | Moderate: EBITDA Margin of 14.22%. Acceptable for most industries. |
| **Asset Turnover** | 1.0078 | x | Low | 0.5 – 1.5 | Good: Asset Turnover of 1.01x. Efficient use of asset base to generate revenue. |
| **Cash Flow Ratio** | 0.0326 | x | High | 0.5 – 1 | Weak: Cash Flow Ratio of 0.03x. Operating cash flow insufficient to cover current liabi... |
| **Working Capital** | 755.45 | RM | Low | — | Positive: Working Capital of RM 755 provides a buffer for short-term operations. |
| **Operating Margin** | 9.43% | % | Medium | 10 – 25 | Moderate: Operating Margin of 9.43%. Sufficient to service debt but minimal slack. |
| **Return On Assets** | 9.50% | % | Low | 5 – 15 | Good: ROA of 9.50%. Assets employed efficiently. |
| **Return On Equity** | 18.70% | % | Low | 10 – 25 | Good: ROE of 18.70%. Solid return on shareholders' investment. |
| **Debt Equity Ratio** | 0.969 | x | Very Low | 0.5 – 2 | Excellent: Debt-Equity Ratio of 0.97x reflects conservative financing with equity domin... |
| **Net Profit Margin** | 9.42% | % | Low | 5 – 20 | Good: Net Profit Margin of 9.42%. Solid bottom-line profitability. |
| **Financial Leverage** | 1.969 | x | Very Low | 1.5 – 4 | Excellent: Financial Leverage of 1.97x. Conservative use of debt financing. |
| **Inventory Turnover** | N/A | x | Unknown | — | Insufficient data to calculate this ratio. |
| **Current Asset Ratio** | 0.7453 | x | Very Low | 0.3 – 0.6 | High Liquidity: Current Asset Ratio of 0.75x — predominantly liquid assets. |
| **Gross Profit Margin** | 45.98% | % | Low | 20 – 60 | Good: Gross Profit Margin of 45.98%. Adequate cost efficiency. |
| **Receivable Turnover** | 6.5257 | x | Medium | 6 – 15 | Moderate: Receivable Turnover of 6.53x. Average collection efficiency. |
| **Interest Coverage Ratio** | 87.794 | x | Very Low | 2.5 – 5 | Excellent: ICR of 87.79x. Strong earnings coverage for interest payments. |
| **Operating Cash Flow Ratio** | 1.53% | % | High | 10 – 25 | Weak: Operating Cash Flow Ratio of 1.53%. Very little cash generated per rupee of revenue. |
| **Debt Service Coverage Ratio** | 38.9242 | x | Very Low | 1.25 – 2 | Excellent: DSCR of 38.92x. Strong debt servicing capacity. |

# 6. Rule Engine Evaluation

| **Verdict: MANUAL REVIEW** | Rules Evaluated: **32** | Rules Triggered: **4** | ML Pipeline: **Will Run** |
|---|---|---|---|

| Priority | Rule Name | Category | Metric Value | Threshold | Mandatory | Status | Action |
|---|---|---|---|---|---|---|---|
| 10 | **Minimum Current Ratio** | Liquidity | 1.5725 | 1 | Yes | **PASS** | Reject |
| 20 | **Positive Net Profit Margin** | Profitability | 9.42 | — | Yes | **PASS** | Reject |
| 30 | **Maximum Debt-to-Equity** | Leverage | 0.969 | 4 | Yes | **PASS** | Reject |
| 40 | **Minimum Interest Coverage** | Coverage | 87.794 | 1.5 | Yes | **PASS** | Reject |
| 50 | **Positive Working Capital** | Liquidity | 755.45 | — | Yes | **PASS** | Reject |
| 60 | **Minimum Operating Margin** | Profitability | 9.43 | -0.05 | Yes | **PASS** | Reject |
| 70 | **Maximum Debt Ratio** | Solvency | 0.4921 | 0.9 | Yes | **PASS** | Reject |
| 110 | **Quick Ratio Check** | Liquidity | 1.5725 | 0.8 | No | **PASS** | Manual Review |
| 120 | **DSCR Adequacy** | Coverage | 38.9242 | 1.25 | No | **PASS** | Manual Review |
| 130 | **ROA Performance** | Profitability | 9.5 | 0.02 | No | **PASS** | Manual Review |
| 140 | **ROE Floor** | Profitability | 18.7 | 0.05 | No | **PASS** | Manual Review |
| 210 | **MFG: Inventory Turnover** | Profitability | N/A | 3 | No | **FAIL** | Manual Review |
| 220 | **MFG: Gross Profit Margin** | Profitability | 45.98 | 0.15 | No | **PASS** | Manual Review |
| 230 | **MFG: Asset Turnover** | Profitability | 1.0078 | 0.5 | No | **PASS** | Manual Review |
| 310 | **TECH: Operating Margin** | Profitability | 9.43 | 0.1 | No | **PASS** | Manual Review |
| 320 | **TECH: Cash Flow Ratio** | Cash_Flow | 0.0326 | 0.5 | No | **FAIL** | Manual Review |
| 330 | **TECH: Low Leverage Required** | Leverage | 0.969 | 2 | No | **PASS** | Manual Review |
| 410 | **CONST: Higher Current Ratio** | Liquidity | 1.5725 | 1.5 | No | **PASS** | Manual Review |
| 420 | **CONST: Receivable Turnover** | Profitability | 6.5257 | 4 | No | **PASS** | Manual Review |
| 430 | **CONST: DSCR Strict** | Coverage | 38.9242 | 1.5 | No | **PASS** | Manual Review |
| 510 | **HC: Operating Cash Flow** | Cash_Flow | 1.53 | 0.3 | No | **PASS** | Manual Review |
| 520 | **HC: Current Ratio Strict** | Liquidity | 1.5725 | 1.3 | No | **PASS** | Manual Review |
| 610 | **RETAIL: Inventory Turnover High** | Profitability | N/A | 5 | No | **FAIL** | Manual Review |
| 620 | **RETAIL: Gross Margin** | Profitability | 45.98 | 0.2 | No | **PASS** | Manual Review |
| 710 | **AGRI: Relaxed Leverage** | Leverage | 0.969 | 3 | No | **PASS** | Manual Review |
| 720 | **AGRI: Cash Flow Seasonal** | Cash_Flow | 0.0326 | 0.4 | No | **FAIL** | Manual Review |
| 810 | **RE: High Leverage Tolerance** | Leverage | 0.969 | 3.5 | No | **PASS** | Manual Review |

| Priority | Rule Name | Category | Metric Value | Threshold | Mandatory | Status | Action |
|---|---|---|---|---|---|---|---|
| 820 | **RE: Interest Coverage Strict** | Coverage | 87.794 | 2 | No | **PASS** | Manual Review |
| 910 | **ENERGY: Asset Turnover** | Profitability | 1.0078 | 0.3 | No | **PASS** | Manual Review |
| 920 | **ENERGY: EBITDA Margin** | Profitability | 14.22 | 0.15 | No | **PASS** | Manual Review |
| 1010 | **FIN: Conservative Leverage** | Leverage | 1.969 | 10 | Yes | **PASS** | Reject |
| 1020 | **FIN: ROE Standard** | Profitability | 18.7 | 0.08 | No | **PASS** | Manual Review |

**Triggered Rule Details:**

■ **MFG: Inventory Turnover:** 'Inventory Turnover' could not be extracted from the financial documents. The rule was triggered as a precaution — missing data cannot be considered safe.

■ **TECH: Cash Flow Ratio:** Cash flow ratio below 0.5 — weak cash conversion for tech

■ **RETAIL: Inventory Turnover High:** 'Inventory Turnover' could not be extracted from the financial documents. The rule was triggered as a precaution — missing data cannot be considered safe.

■ **AGRI: Cash Flow Seasonal:** Cash flow ratio below 0.4 — concerning with seasonal agriculture income

## 7. ML Prediction & Risk Assessment

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|---|---|
| **Model Used** | Xgboost |
| **Probability of Default** | 0.04% |
| **Composite Risk Score** | 15.0 / 100 |
| **Risk Level** | VERY LOW |
| **Prediction Outcome** | Low Risk |

**Risk Score Bar:** [■■■■■■■■■■■■■■■■■■■■] 15.0%

**Top Predictive Factors (SHAP Analysis):**

| Feature | SHAP Value | Direction |
|---|---|---|
| Borrowing dependency | -2.3492 | ↓ **Reduces Risk** |
| Non-industry income and expenditure/revenue | -1.3939 | ↓ **Reduces Risk** |
| Interest Coverage Ratio (Interest expense ... | -1.3506 | ↓ **Reduces Risk** |
| Operating Profit Rate | -1.2737 | ↓ **Reduces Risk** |
| ROA(C) before interest and depreciation be... | -1.0117 | ↓ **Reduces Risk** |
| Persistent EPS in the Last Four Seasons | -0.7921 | ↓ **Reduces Risk** |
| Degree of Financial Leverage (DFL) | +0.7528 | ↑ **Increases Risk** |
| Operating Gross Margin | -0.5637 | ↓ **Reduces Risk** |
| ROA(A) before interest and % after tax | -0.5564 | ↓ **Reduces Risk** |
| Operating profit per person | -0.4761 | ↓ **Reduces Risk** |
| Interest Expense Ratio | -0.4658 | ↓ **Reduces Risk** |

| | | |
|---|---|---|
| Working Capital to Total Assets | -0.4234 | **↓ Reduces Risk** |

**Model Explanation:**
The XGBoost model assigns a low probability of default (0.0%), suggesting acceptable credit risk. Key factors increasing default risk: 'Degree of Financial Leverage (DFL)'. Mitigating factors reducing default risk: 'Borrowing dependency', 'Non-industry income and expenditure/revenue', 'Interest Coverage Ratio'.

**Model Comparison (Training Evaluation):**

| Model | Accuracy | Precision | Recall | F1 | ROC-AUC | CV ROC-AUC |
|---|---|---|---|---|---|---|
| Xgboost | 0.918 | 0.254 | 0.795 | 0.385 | 0.914 | 0.996 ± 0.001 |
| Random Forest | 0.935 | 0.301 | 0.773 | 0.433 | 0.945 | 0.992 ± 0.002 |
| Logistic Regression | 0.886 | 0.200 | 0.841 | 0.323 | 0.934 | 0.951 ± 0.004 |

## 8. Credit Recommendation

RECOMMENDATION: CONDITIONAL APPROVAL — The composite risk score of 15.0/100 is in the 'Medium' range. The XGBoost model estimates a 0.0% probability of default. Additionally, 4 advisory rule(s) triggered: MFG: Inventory Turnover, TECH: Cash Flow Ratio, RETAIL: Inventory Turnover High. Approval may be considered with appropriate covenants, enhanced collateral requirements, or a reduced loan amount.

## 9. Officer Notes

No officer notes recorded at the time of report generation.

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